



THE FIVE MOST IMPORTANT QUESTIONS

YOU WILL EVER ASK ABOUT YOUR ORGANIZATION

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The Big “So What”



For many years, non-profit organizations felt that a good cause alone was enough. However, precisely because they don't have a bottomline like profit organizations, it is even more important that they are well-managed. This book provides a self-assessment process to address crucial fundamentals of what you are doing, why you are doing it, and what you must do to improve your organization's performance.

The Importance of Self-Assessment



Self-assessment is crucial to any individual or organization that's committed to becoming a leader.

 **It forces the organization to focus on its mission.** The self-assessment process will lead to the formation of a plan, and **planning is an ongoing process (not a one-off event)**. It requires that you make the best possible decisions today to achieve results tomorrow, to constantly review what works and what doesn't work, so adjustments can be made in light of ongoing changes.

 **It requires that you listen to your customers.** A non-profit organization cannot support every good cause that it encounters. Instead, it must address what its customers (be it a student, donor, patient) want and value. In assessing your customers' needs, you cannot simply guess what they want. You need to talk to your customers and get their input.

 **It involves setting higher standards and encouraging constructive dissent.** To become a force for positive change, to build future communities and change lives, you'll need to constantly challenge status quo and push for renewal/improvement while you're successful. Important decisions should never be made when there's rapid consensus, as this means that people are avoiding the difficult discussions and decisions, and/or objections are being hidden. Instead, encourage different views and constructive dissent.

Key Quotes

"Leadership has no choice but to anticipate the future and attempt to mold it."

"The mission inspires; it is what you want your organization to be remembered for."

"You cannot arrive at the right definition of results without significant input from your customers...The danger is in acting on what you believe satisfies the customer."

"True self-assessment is never finished. Leadership requires constant reshaping, refocusing, never really being satisfied."

These ideas are expanded upon in the 5 essential questions for self-assessment outlined below. The 5 questions by Drucker have withstood the test of time, and are presented in the book alongside additional inputs from other thought leaders.

1 “What Is Our Mission?”



The mission captures the purpose of an organization's existence. It has to encapsulate something that you believe in, at a deep and personal level, such that everyone in the organization understands and lives it.

In defining your mission, you must consider:

- Your present mission
- Your challenges
- Your opportunities
- Whether your mission must be revisited

For non-profit organizations, changing lives must be at the core of their missions. An effective mission statement:

-  Is broad and focuses on shaping the future;
-  Is so short and focused it can fit on a t-shirt;
-  Is centred on “why” and not “how”; and
-  Reflects the point where opportunities, organizational competence and commitment converge.

Preserve the core while progressing dynamically

-  Jim Collins shares that an organization's mission guides it on what to do and what not to do. Great organizations concurrently preserve their core, while stimulating progress. They are crystal-clear and unwavering in their mission or core ideology, but dynamic in how they manifest the mission, including changing the operating practices, tactics, strategies, processes, techniques or cultural norms to keep pace with changing realities.

Key Quotes

“A mission cannot be impersonal; it has to have deep meaning, be something you believe in – something you know is right.”

“A fundamental responsibility of leadership is to make sure that everybody knows the mission, understands it, lives it.”

“The mission transcends today but guides today, informs today.”

“Every mission statement has to reflect three things: opportunities, competence, and commitment.”

“(People) have a desperate need for a guiding philosophy, a beacon on the hill to keep in sight during dark and disruptive times.”

- Jim Collins

Human beings have a fundamental need for belonging and a deeper sense of purpose. As the world becomes more disruptive and unpredictable, a clear mission helps people to feel that they are standing for something they believe in.

2

"Who is Our Customer?"



Only when you have clearly identified your customers can you focus on satisfying their needs. Yet, leaders are often unsure who exactly their customers are, and / or fail to place their customers as the priority. To identify your customers, ask yourself this question **"For my organization to be considered successful, who must be satisfied?"**

In defining your customers, consider

- Who your primary customers are
- Who your supporting customers are
- How these customers will change



Primary customers. You should have only one primary customer, and this is the customer whose life will be changed due to your organization's work. Drucker gave the example of a non-profit organization that focused on "the person with multiple barriers to employment" – over time, this single definition led them to impact different groups of people, from the physically disabled to single mothers to the chronically ill. Identifying your primary customers gives you great clarity for prioritization and decision making.



Supporting customers. You will have many supporting customers - including your employees partners, members, etc. – and you must satisfy all of them. When you change your primary customers, you will also create a different circle of supporting customers.



Know your (ever-changing) customers. Your customers (be it their demographics, numbers, needs etc.) will change over time, as will the opportunities for you to serve them (due to changes in technology, environment etc.). The key is to **get to know your customers, and to continuously adapt and learn as they change.** You should also examine when to stop serving specific groups of customers.

Key Quotes

"You define your customer as one who values your service, who wants what you offer, who feels it's important to them."

"Our business is not to casually please everyone, but to deeply please our target customers."

-Philip Kotler

"Your success ultimately depends on what you have contributed to the success of your customers."

-Philip Kotler

Don't attract Customers; Develop Fans

Philip Kotler adds that, it is no longer enough to try and attract customers. **The new paradigm of thinking is about choosing your target customers carefully, and satisfying them so well that they become your fans.** To do this, you need to:

-  Understand the customer buying process - including who is the initiator, influencer, decider and the purchaser - then seek to reach the most influence people in this decision-making process.
-  Go beyond data in the customer relationship management process to actually capture and improve the quality of customer experience.

3 "What Does the Customer Value?"



We must understand our customers' needs, wants and aspirations. Yet, these are complex questions that can be only addressed by the customers themselves.

To address this question, consider these about your primary and supporting customers:

- What assumptions you may have about what they value
- What knowledge you must gather to ascertain what they value
- How you can gather this information

 **Don't assume or infer.** In their own eyes and realities, customers always behave rationally; we can only see the logic of their decisions when we see things from their perspectives. To deliver what our customers value, we need to first become aware of our own assumptions or interpretations of what the customers value.

 **Plan around your customers.** To integrate what customers value into your organizational plan, you need to shift the way your organization thinks. Consider your knowledge gaps, then listen and objectively accept what the customers are telling you about their needs and wants. **Ensure their voice is an integral part of all your deliberations and decisions.**

Key Quotes

"The first rule is that there are no irrational customers."

"Listen to customers, accept what they value as objective fact, and make sure the customer's voice is part of your discussions and decisions, not just during the self-assessment process, but continually."

"People are so convinced they are doing the right things and are so committed to their cause that they come to see the institution as an end in itself. But that's a bureaucracy."

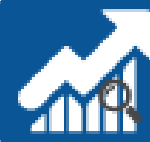
Dare to change the status quo



Jim Kouzes adds that, creating value for the customers means solving their problems. This requires not just an ability to listen, but also the **courage to challenge the norms and change what's familiar and stable** in your business, to deliver what customer truly want.

4

"What Are our Results?"



In a profit organization, one of the measurements of success is obviously profits. Without it, business is not sustainable in the long run. However, for non-profit organizations, success must be defined and measured differently.

In addressing this question, consider:

- How you currently define results
- If you are really successful
- How you should define results
- What you must enhance or discard



Use qualitative and quantitative measures. You can measure your process and results in both qualitative and quantitative terms. Qualitative indicators look at how deep and wide your impact goes, and can be collected and presented in the form of stories which capture patterns, observations and intangible benefits like "hope" and "inspiration". Quantitative measures involve "hard data" like number and statistics to access if certain standards or goals are met.



Enhance what works and discard what doesn't. With clearly-defined measures, you can identify what you must strengthen, i.e. where to invest resources such that you will get multiple times the results. However, it is equally important to identify what you must discard, without which your resources cannot be optimally deployed. It is not good enough to put resources in an area due to tradition or need – **the only reason to invest resources is if it can produce outstanding results.**

Key Quotes

"Organizations of the future are relevant and sustainable with measurable results."

"The results of social sector organizations are always measured outside the organization in changed lives and changed conditions – in people's behaviour, circumstances, health, hopes and above all, in their competence and capacity."

"To abandon anything is always bitterly resisted... Yet, abandonment comes first. Until that has been accomplished, little gets done."

Results are both a goal and a test

- Judith Rodin points out that, while our long-term mission is important, measurable results in the short term tells us whether our short-term plans are working, and allow us to make midcourse corrections to get better results toward our long-term goals. In other words, results are both a goal in itself, as well as a test of whether we are ontrack to accomplishing our wider mission.

5

"What is Our Plan?"



The process of self-assessment generates a plan, which articulates where you want to be and how you intend to get there. It includes the organization's mission, goals, action steps, budget and appraisal. Since no one can predict the future, the plan needs to keep evolving. Keep asking "What do we want to be remembered for?"



Board vs Management. The board's role is to focus on the mission, goals, resource allocation, and progress review to keep the organization ontrack. The management, on the other hand, is responsible for objectives, action steps and driving results.

Key Quotes

"Planning is not an event. It is the continuous process of strengthening what works and abandoning what does not, of making risk-taking decisions with the greatest knowledge of their potential effect, of setting objectives, appraising performance and results through systematic feedback, and making ongoing adjustments as conditions change."



Goals, Objectives and Budget. An organization should only have a few, and no more than 5, fundamental goals that are approved by the board. Your goals must be rooted in your mission (and by extension, address what opportunities and strengths you'll leverage and where you are going). Your objectives are specific, measurable achievements that will move you towards your goals, including the effective use of the budget approved by the board.



Getting buy-in. Everyone who has a role in the plan should be given the chance to provide inputs – this creates buy-in and understanding of the plan.

In addressing this question, consider:

- If the mission should be changed
- What your goals are

An effective plan comes with 5 ingredients:



Abandonment. Constantly ask “If we were not already doing this today, would we go into it?”. If something doesn't work or no longer works, discard it as soon as possible.



Concentration. Focus on what works, and challenge yourself by asking “Can we set and achieve an even higher standard”?



Innovation. Consider the opportunities, emerging issues and conditions of the future, and ask “What do our customers value and how can we make a difference?”



Risk-Taking. Planning inevitably involves decisions and risks. It's a fine line between being too conservative and taking on too much risk, and unfortunately, there's no one-size-fits-all solution.



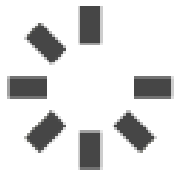
Analysis. If you are unsure whether to abandon, focus, innovate or take risk, it means you need to conduct further analysis

Key Quotes

“Goals make it absolutely clear where you will concentrate resources for results – the mark of an organization serious about success.”

“With genuine participation, a decision doesn't need to be sold...the decision itself becomes a commitment to action.”

The plan as the start and not the end



V. Kasturi Rangan highlights that a plan should not be treated as a perfect blueprint for execution. Rather, it is just a starting point for management to refine, adapt and learn. An effective plan:

- Is goal-focused, helping the organization to measure its progress towards its overarching mission.
- Is unwavering in its strategic direction but flexible in execution, with a strong learning focus and constant exploration of possible paths.
- Has individual ownership and accountability. The plan should be developed with the involvement of those responsible for its execution and results. First, name the individuals, then give them autonomy and flexibility to develop the plan that they will eventually be accountable for.
- Is monitored for improvement. Not all programs will be equally successful. Close monitoring helps to identify which programs contributed results, which ones didn't, and why, so the lessons can be ploughed back into the design of future programs.

Transformational Leadership

Frances Hesselbein identified 8 milestones that any organization will cross in the process of becoming a truly effective institution:



Scan the environment to identify and understand major emerging trends that affect the organization;



Review the mission at least every few years, asking the first 3 of the 5 questions to ensure your mission is still on point;

Key Quotes

"While the overarching mission might be broad and inspirational, the operating mission must be narrow enough to allow the organization to measure its progress against goals."

- V. Kasturi Rangan



Banish hierarchy, so people are not confined into rigid organizational roles. Use job rotation and other ways to fluidly facilitate the expansion of roles and perspectives;



Challenge “the way things are”, to identify sacred cows (e.g. programs, policies, practices etc.) that should be discarded;



Communicate powerfully, by reinforcing a few clear and consistent message to all customers and stakeholders;



Develop organization-wide leadership, such that leadership is a shared responsibility and leaders are developed across all levels of the organization;



Lead by example, with leaders leading from the front as role models of desired behaviours;



Assess performance, using the last 2 of the 5 questions to measure and assess how you are doing.

Other Useful Details in the Book to Look Out For



The book was originally written with social or nonprofit organizations as the focus, though the ideas are applicable to any organization or institution that wishes to achieve excellence.

The 5 questions may appear simple, but are certainly not easy to answer. Drucker encourages you to take time to reflect upon each question and allow yourself to consider them carefully. Proper self-assessment could take weeks, if not months to complete, and the process is never finished as leaders constantly refocus and refine.

To aid you in your thinking process and to facilitate discussions, the book comes with a workbook with additional questions and exercises.

Key Quotes